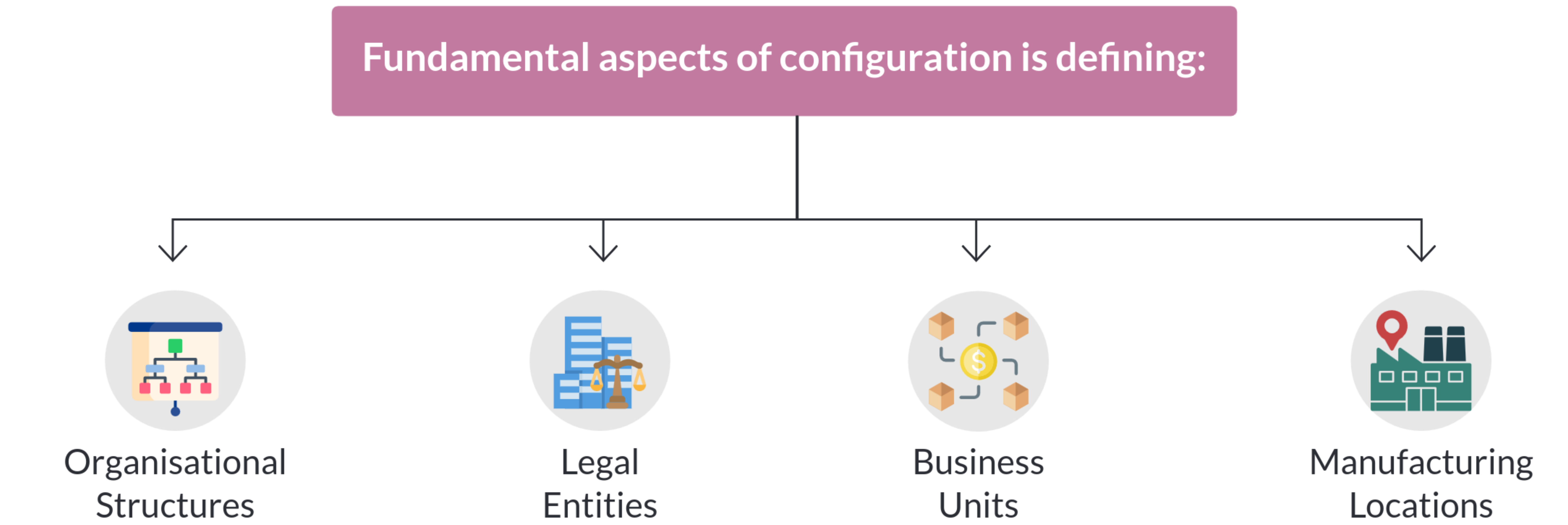


Configuration: Setting the Rules

ERP systems are typically designed to cater to various industries and business models. However, they come with a base or vanilla version that needs to be configured to suit the organisation’s specific processes and requirements. Configuration involves setting up the rules and parameters within the ERP system to reflect the organisation’s business processes and operational nuances.



One of the fundamental aspects of configuration is defining organisational structures, legal entities, business units, manufacturing locations, and other essential elements that shape the business processes within the ERP system. This ensures that the ERP system accurately represents the organisation’s hierarchical structure, reporting lines, and accountability frameworks.



For example, an organisation may have multiple legal entities operating in different countries or regions, each with its own regulatory requirements, tax laws, and accounting practices.

The ERP system would need to be configured to accommodate these regional variations, enabling the organisation to maintain compliance and accurately report financial data across its various operations.

